

DIRECTORS' REPORT

TO THE MEMBERS

The Directors have pleasure in presenting the Thirty-Eighth Directors' Report of Godrej Properties Limited ("Godrej Properties", "GPL" or "the Company") along with the financial statements for the financial year ended March 31, 2023.

1. OPERATING RESULTS:

Certain key aspects of the Company's performance (on a standalone basis) during the financial year ended March 31, 2023, as compared to the previous financial year are summarized below:

(₹ in crore)		
Particulars	Financial Year 2022-2023	Financial Year 2021-2022
Revenue from Operations	1,155.05	1,473.45
Other Income	945.00	858.48
Total Income	2,100.05	2,331.93
Profit before Tax	830.54	713.55
Profit after Tax	655.67	525.98
Other Comprehensive Income	0.93	(1.16)
Total Comprehensive Income	656.60	524.82

Your Company does not propose to transfer any amount to the reserves.

2. DIVIDEND :

In terms of Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), the Dividend Distribution Policy of the Company is available on the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>

The Board strongly believes that the current market scenario would offer attractive business development opportunities in the real estate sector and re-investing the capital in such opportunities would create more wealth and value for the shareholders in the long term. Accordingly, with a view to create the long term economic value, your Directors have not recommended any dividend for the year ended March 31, 2023.

3. SHARE CAPITAL:

During the financial year ended March 31, 2023, the Company issued and allotted 33,377 equity shares of ₹5 each to its eligible employees on exercise of options granted under the Godrej Properties Limited Employee Stock Option Scheme, 2011 ("GPL ESGS").

As at March 31, 2023, the issued, subscribed and paid-up equity share capital of the Company stands at 27,80,21,444 equity shares of ₹5 each. The Company has neither issued shares with differential rights as to dividend, voting or otherwise nor issued shares (including sweat equity shares) to the employees or Directors of the Company under any Scheme, other than GPL ESGS.

4. OVERVIEW OF OPERATIONS:

Godrej Properties delivered another record year in FY2022-23 by achieving the highest sales in its history, surpassing the industry growth. This was driven by continued focus across bringing better products with consumer centric approach, delivering best in class quality consistently and enhancing customer's trust on the brand.

Godrej Properties achieved a sales volume of 15.2 million square feet and booking value of ₹12,232 crore in FY2022-23, resulting in a growth of 56% Y-o-Y. This was the highest recorded booking value in the history of the Company. This was evenly distributed across its four key geographies, each delivering more than 2 million sq. ft. sales and sales value of more than ₹2,000 crore in all its four focus markets.

Godrej Properties launched 24 new projects/ phases in FY2022-23, including Godrej Horizon in Mumbai and Godrej Splendour in Bengaluru, both of which clocked around ₹1,000 crore within a year of its launch. These remained amongst the most successful residential project launches for GPL. The new project launches were complemented by ₹6,026 crore of sustenance sales in FY2022-23 which, again was the highest ever for the company.

Godrej Properties added eighteen new projects with saleable potential of around 29 million sq. ft. to its portfolio during the year, 7 in MMR, 5 in NCR, 2 each in Bengaluru and Pune, and 1 each in Nagpur and Chennai.

On the operational front, Godrej Properties successfully delivered ~10.5 million sq.ft across projects. With this, Godrej Properties has now successfully delivered over ~32 million sq. ft. in last five years. The Company's delivery record demonstrates its ability to operate at a large scale and keep pace with accelerating sales. Separately, Godrej Properties focused on exploring advanced construction technologies, improving Net Promoter Score (NPS) and design standardization.

Godrej Properties, among the most respected real estate developers in India, received 90 awards in FY 23. Accolades include Golden Peacock Award for Winner - CSR in Real Estate Category, ICAI International Sustainability Reporting Awards 2021-22 for Gender Equality (Gold Award), KPMG

ESG Conclave and Awards 2023 for Winner - Environmental & Social Initiatives (Infrastructure & Real Estate), Apex India Foundation Quality Excellence in the Construction sector (Platinum Award - Vikhroli Region), Indian Institute of Industrial Engineering (Gold Award - Safety).

For the financial year under review, on a consolidated basis, GPL's total income stood at ₹3,039 crore, EBITDA was ₹994 crore and net profit after tax and minority interest was ₹571 crore.

5. PROSPECTS AND OUTLOOK:

Despite the interest rate hikes of ~250 bps in last 12 months, the home buying intent and sales momentum sustained with FY23 being the best-ever year in terms of sales booking for the industry. Hence, acceptance level of high-single digit mortgage rates remains very high. We have seen improvement in the prospects of real estate as volume and pricing is witnessing an uptick across geographies. Home buying is long-term asset where a strong affordability and financial strength (which is still better than pre-Covid levels) shall supersede the natural rate-cycle, especially if demand is driven by end use.

Consolidation in the residential real estate sector has only accelerated over the last few years amid regulatory changes like demonetisation, RERA, NBFC liquidity crisis, leading to an increase in the market share of branded organized players such as your Company. Given the pace of urbanization and rising per capita disposable incomes, Godrej Properties remains optimistic about the long-term prospects in real estate. Consumer sentiment has remained robust, which will result in a multi-year residential real estate upcycle, provided price increase is disciplined. Your Company is poised for a high growth trajectory with a strong brand, pan-India presence and demonstrated track record.

In the post pandemic era, the customer focus on product proposition and quality is very strong. Increasingly, there has been disproportionate focus by the large organised developers on better design as per customer preference, best in class experience and superior quality.

While continuing its focus on the four key markets of Mumbai, National Capital Region, Bengaluru and Pune, the company is now also looking to enter peripheral markets and tier 2 cities through plotted developments. Godrej Properties shall seek to drive profitability, improve customer experience and continue to adopt digital technologies. Moreover, operational momentum for your company is likely to be sustained by its healthy Balance Sheet and robust project pipeline.

6. MATERIAL CHANGES AND COMMITMENTS AFFECTING THE FINANCIAL POSITION OF THE COMPANY:

There have been no material changes and commitments affecting the financial position of the Company which have occurred between March 31, 2023 and the date of this Report, other than those disclosed in this Report. There has

been no change in the nature of business of your Company.

7. DEPOSITORY SYSTEM:

Your Company's equity shares are available for dematerialisation through National Securities Depository Limited and Central Depository Services (India) Limited. As on March 31, 2023, 99.99% of the equity shares of the Company were held in dematerialised form.

8. ANNUAL RETURN:

As required under Section 92 of the Companies Act, 2013 (the "Companies Act") the Annual Return for the financial year ended March 31, 2023 is available on the website of the Company and can be accessed at <https://www.godrejproperties.com/investor/annual-reports>.

9. NUMBER OF MEETINGS OF THE BOARD:

The Board met 5 (five) times in the financial year ended March 31, 2023 on May 03, 2022, June 24, 2022, August 02, 2022, November 09, 2022 and February 02, 2023. The details of the attendance of Directors at the Board Meetings during the financial year 2022-23 are given in the Corporate Governance Report.

10. DIRECTORS' RESPONSIBILITY STATEMENT:

The Directors hereby confirm that:

- in the preparation of the annual financial statements for the financial year ended March 31, 2023, the applicable accounting standards have been followed along with proper explanation relating to material departures, if any.
- they have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2023 and of the profits of the Company for the financial year ended on March 31, 2023.
- they have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act and rules made thereunder, as amended, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- they have prepared the Annual Financial Statements for financial year ended March 31, 2023 on a 'going concern' basis.
- they have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and have been operating efficiently.
- they have devised proper systems to ensure compliance with provisions of all applicable laws and that such systems were adequate and operating effectively.

11. DIRECTORS AND KEY MANAGERIAL PERSONNEL:

In accordance with the Articles of Associations of the Company and the provisions of Section 152 of the Companies Act, Mr. Pirojsha Godrej (DIN: 00432983) will retire by rotation at the ensuing AGM and being eligible, has offered himself for re-appointment. The resolution seeking Members' approval for his re-appointment forms part of the AGM Notice. The Board of Directors of your Company has recommended his appointment at the ensuing AGM.

During the financial year 2022-23, Mr. Mohit Malhotra (DIN: 07074531) resigned from the position of Managing Director and Chief Executive Officer of the Company from the close of business hours on December 31, 2022. The Board places on record its sincere appreciation and gratitude for the tremendous contribution made by Mr. Mohit Malhotra during his tenure as Managing Director and Chief Executive Officer of the Company. Consequent to his resignation, he also ceased to be a member of Stakeholder Relationship Committee, Corporate Social Responsibility Committee, Risk Management Committee, Allotment Committee and Management Committee.

Based on the recommendation of the Nomination and Remuneration Committee and Board of Directors, Mr. Gaurav Pandey (DIN: 07229661) was appointed as the Managing Director & Chief Executive Officer of the Company for a period of 3 consecutive years commencing from January 01, 2023, pursuant to Sections 196, 197, 198 and 203 of the Companies Act and the rules made thereunder and other applicable provisions of SEBI LODR Regulations. The Members have approved his appointment by means of Postal Ballot on December 12, 2022.

The tenure of Mr. Pranay Vakil (DIN: 00433379) as an Independent Director of the Company was completed at the conclusion of the 37th Annual General Meeting (AGM) of the Members of the Company held on August 02, 2022. Accordingly, Mr. Pranay Vakil ceased to be the Director of the Company with effect from August 02, 2022. Consequently, he also ceased to be a Member of Audit Committee, Nomination and Remuneration Committee and Corporate Social Responsibility Committee. The Board places on record its gratitude for the valuable contribution made by Mr. Pranay Vakil during his tenure as an Independent Director.

The Board of Directors, upon recommendation of the Nomination and Remuneration Committee, appointed Dr. Indu Bhushan (DIN: 09302960) as an Additional Independent Director on the Board of the Company with effect from May 03, 2022. His appointment was approved by the members by means of Postal Ballot on July 04, 2022 for a period of 5 consecutive years with effect from May 03, 2022 till May 02, 2027.

Pursuant to the provisions of Section 203 of the Companies Act, the Key Managerial Personnel of the Company as at the date of this Report are Mr. Pirojsha Godrej (DIN: 00432983) – Whole Time Director designated as Executive Chairperson, Mr. Gaurav Pandey (DIN: 07229661) –

Managing Director & Chief Executive Officer, Mr. Rajendra Khetawat – Chief Financial Officer and Mr. Ashish Karyekar – Company Secretary & Compliance Officer.

Save and except the above, there were no changes in the Directors or Key Managerial Personnel of the Company during the year under review.

12. DECLARATION BY INDEPENDENT DIRECTORS:

The Independent Directors of the Company have submitted the declaration of independence as required under Section 149(7) of the Companies Act, confirming that they meet the criteria of independence under Section 149(6) of the Companies Act and Regulation 16 of SEBI LODR Regulations. In the opinion of the Board, the Independent Directors fulfill the conditions specified in these regulations and are independent of the management. There has been no change in the circumstances affecting their status as Independent Directors of the Company.

The Board is also of the opinion that the Independent Directors of the Company possess requisite qualifications, experience and expertise in the field of finance, strategy, auditing, tax, risk advisory, financial services and infrastructure and real estate industry and they hold the highest standards of integrity.

In compliance with rule 6(1) of the Companies (Appointment and Qualification of Directors) Rules, 2014, all the Independent Directors have included their names in the data bank of Independent Directors maintained by the Indian Institute of Corporate Affairs. Since all the Independent Directors of the Company have served as directors in listed companies or are in the pay scale of Director or equivalent in the Ministry of Department of the Central Government for a period not less than three years, they are not required to undertake the proficiency test as per Rule 6(4) of the Companies (Appointment and Qualification of Directors) Rules, 2014.

13. POLICY ON DIRECTORS' AND KEY MANAGERIAL PERSONNEL'S APPOINTMENT AND REMUNERATION:

The policy on appointment and remuneration including criteria for determining qualifications, positive attributes, independence of Directors, Key Managerial Personnel and Senior Management and other matters provided under Section 178(3) of the Companies Act, is appended as **Annexure I** to this Report and also is available on the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>.

14. ANNUAL EVALUATION OF PERFORMANCE OF THE BOARD:

The Company conducted a formal Board Effectiveness Review as part of its efforts to evaluate, identify improvements and enhance the effectiveness of the Board, its Committees and individual directors. This was in line with the requirements mentioned in the Companies Act and the SEBI LODR Regulations.

The Corporate HR team of Godrej Industries Limited and Associate Companies ("GILAC") worked directly with the Executive Chairperson and the Nomination & Remuneration Committee of the Board, to design and execute this process which was adopted by the Board. Each Board Member completed a confidential online questionnaire, providing vital feedback on how the Board currently operates and how it might improve its effectiveness.

The survey comprised four sections and compiled feedback and suggestions on:

- Board processes (including Board composition, strategic orientation and team dynamics);
- Individual committees;
- Individual Board members; and
- Chairperson's Feedback Report

The performance evaluation criteria for independent directors included a check on their fulfillment of the independence criteria and their independence from the management.

The following reports were created as part of the evaluation:

- Board's Feedback Report
- Individual Board Member's Feedback Report
- Chairperson's Feedback Report

The overall Board Feedback Report was facilitated by Mr. Amitava Mukherjee along with the Independent Directors. The Directors were vocal about the Board functioning effectively but also identified areas that show scope for improvement. The feedback of Individual Committees and Board Members was shared with the Executive Chairperson. Following his evaluation, Executive Chairperson's Feedback Report was also compiled.

15. FAMILIARISATION PROGRAMME FOR INDEPENDENT DIRECTORS:

The Company conducts familiarization programs for Independent Directors to enable them to understand their roles, rights and responsibilities. The Independent Directors when they are appointed are given a detailed orientation on the Company, industry, strategy, policies and Code of Conduct, regulatory matters, business, financial matters, human resource matters and corporate social responsibility initiatives of the Company. Presentations are also made at the Board and committee meetings which facilitates them to clearly understand the business of the Company and the environment in which the Company operates. Operational updates are provided for them to have a good understanding of Company's operations, businesses and the industry as a whole. They are periodically updated on material changes in regulatory framework and its impact on the Company. The Company's Policy of conducting familiarisation program has been disclosed at the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>.

16. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS:

The details of loans given, investments made, guarantees given and securities provided by the Company during the financial year under review form parts of the notes to the standalone financial statements provided in this Annual Report.

17. PARTICULARS OF CONTRACTS OR ARRANGEMENTS WITH RELATED PARTIES:

The Company has formulated a policy on related party transactions which is also available on the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>. All related party transactions are placed before the Audit Committee for review and approval. Prior omnibus approval is obtained for related party transactions on a quarterly basis for transactions which are of repetitive nature and/or entered in the ordinary course of business and are at an arm's length basis.

All related party transactions entered during the year were in the ordinary course of the business and at an arm's length basis. Accordingly, the disclosure of Related Party Transactions as required under Section 134(3)(h) of the Companies Act and Rule 8(2) of the Companies (Accounts) Rules, 2014 in Form AOC-2 is not applicable to the Company for FY 2022-23. However, in terms of Regulation 23 of SEBI LODR Regulations, the Company had obtained the approval of the members of the Company by ordinary resolution through postal ballot, the results of which were declared on July 05, 2022 and March 24, 2023, for entering into material related party transactions with its Special Purpose Vehicles which are considered as its related parties. Accordingly, the details of the material related party transactions entered into during the year have been reported in Form AOC-2, which is given in **Annexure II** to this Report.

The attention of Members is drawn to the disclosures of transactions with related parties set out in Notes to Accounts (Note No. 44) forming part of the standalone financial statements. Transactions with a person or entity belonging to the promoter/ promoter group which holds 10% or more shareholding in the Company as required under Schedule V, Part A (2A) of SEBI LODR Regulations are given as Note No. 44 (on Related Party Transaction) forming part of the standalone financial statements.

18. PARTICULARS REGARDING CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

The particulars with respect to conservation of energy, technology absorption and foreign exchange earnings and outgo, as required under Section 134(3)(m) of the Companies Act read with the Companies (Accounts) Rules, 2014 are appended as **Annexure III** to this Report.

19. BUSINESS RISK MANAGEMENT:

The Company has constituted a Risk Management Committee consisting of members of the Board and key executives of the Company to identify, assess, monitor and mitigate business risks. The composition of the Committee is in compliance with Regulation 21 of the SEBI LODR Regulations. The business divisions identify the risks at both the enterprise level and project level and address them through mitigating actions on a continual basis.

The business risks identified are reviewed by the Risk Management Committee and its implementation is monitored. The key risks and mitigation actions are then placed before the Audit Committee of the Company.

The Risk Management Policy of the Company is available on the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>

20. CORPORATE SOCIAL RESPONSIBILITY:

A Corporate Social Responsibility ("CSR") Committee has been constituted in accordance with Section 135 of the Companies Act. The details required under the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended, with respect to the CSR Committee and an Annual Report on CSR activities undertaken during the financial year ended March 31, 2023 are appended as **Annexure IV** to this Report. The CSR Policy is available on the website of the Company at <https://www.godrejproperties.com/investor/corporate-governance>

The Company has not participated in any direct or indirect political contributions and/or charitable contributions/sponsorships.

21. SUBSIDIARY AND ASSOCIATE COMPANIES:

A. Subsidiaries

As at March 31, 2023, the Company had 20 unlisted subsidiaries under the Companies Act, namely, Godrej Realty Private Limited, Godrej Garden City Properties Private Limited, Prakritiplaza Facilities Management Private Limited, Godrej Prakriti Facilities Private Limited, Godrej Genesis Facilities Management Private Limited, Godrej Projects Development Limited, Godrej Hillside Properties Private Limited, Godrej Highrises Properties Private Limited, Citystar Infraprojects Limited, Godrej Residency Private Limited, Godrej Home Developers Private Limited, Godrej Skyline Developers Private Limited, Godrej Redevelopers (Mumbai) Private Limited, Godrej Precast Construction Private Limited, Godrej Green Woods Private Limited, Godrej Properties Worldwide INC, Godrej Living Private Limited, Ashank Land & Building Private limited, Wonder City Buildcon Limited (formerly known as Wonder City Buildcon Private Limited) and Godrej Home Constructions Limited (formerly known as Godrej Home Constructions Private Limited).

The audited financial statements of all the subsidiaries are available on the website of the Company www.godrejproperties.com. The Company will make these documents available to Members upon request made by

them.

As at March 31, 2023, Godrej Greenview Housing Private Limited, Wonder Projects Development Private Limited, Godrej Real View Developers Private Limited, Pearlite Real Properties Private Limited, Godrej One Premises Management Private Limited, Godrej Green Homes Private Limited, Godrej Macbricks Private Limited, Vivrut Developers Private Limited, Vagishwari Land Developers Private Limited, Yerwada Developers Private Limited and Madhuvan Enterprises Private Limited* are associate companies of the Company.

During the financial year under review, Ashank Land and Building Private Limited became a subsidiary of the Company with effect from May 19, 2022 and Wonder City Buildcon Limited and Godrej Home Constructions Limited became subsidiaries of the Company with effect from March 29, 2023. Yuiya Developers Private Limited ceased to be an Associate entity of the Company on account of its merger with Madhuvan Enterprises Private Limited vide order of Hon'ble National Company Law Tribunal, Bengaluru Bench, dated March 16, 2023.

*Share allotment pending as on March 31, 2023.

B. Limited Liability Partnerships (LLPs)

The Company is a partner in the following LLPs as of March 31, 2023:

1. Godrej Property Developers LLP
2. Mosiac Landmarks LLP
3. Dream World Landmarks LLP
4. Oxford Realty LLP
5. Godrej SSPDL Green Acres LLP
6. M S Ramaiah Ventures LLP
7. Oasis Landmarks LLP
8. Caroa Properties LLP
9. Godrej Amitis Developers LLP
10. Godrej Construction Projects LLP
11. Godrej Housing Projects LLP
12. Mahalunge Township Developers LLP
13. Godrej Developers & Properties LLP
14. Godrej Highrises Realty LLP
15. Godrej Project Developers & Properties LLP
16. A R Landcraft LLP
17. Godrej Highview LLP
18. Prakhhyat Dwellings LLP
19. Godrej Skyview LLP
20. Godrej Green Properties LLP
21. Maan - Hinje Township Developers LLP
22. Godrej Projects (Soma) LLP
23. Godrej Projects North Star LLP
24. Godrej Projects North LLP
25. Godrej Reserve LLP
26. Godrej Athenmark LLP

27. Godrej Vestamark LLP
28. Godrej Irismark LLP
29. Manjari Housing Projects LLP
30. Rosebery Estate LLP
31. Embellish Houses LLP
32. Godrej City Facilities Management LLP
33. Suncity Infrastructure (Mumbai) LLP
34. Godrej Florentine LLP
35. Godrej Odyssey LLP
36. Godrej Olympia LLP
37. Ashank Realty Management LLP
38. Ashank Facility Management LLP
39. Manyata Industrial Parks LLP
40. Universal Metro Properties LLP

C. Material Unlisted Indian Subsidiary:

As at March 31, 2023, Godrej Projects Development Limited and Oasis Landmarks LLP are considered as material unlisted Indian subsidiaries under Regulation 24 of SEBI LODR Regulations.

22. PERFORMANCE AND FINANCIAL POSITION OF SUBSIDIARIES, ASSOCIATES AND JOINT VENTURE COMPANIES:

As required under SEBI LODR Regulations and Section 129 of the Companies Act, the consolidated financial statements have been prepared by the Company in accordance with the applicable accounting standards and form part of the Integrated Annual Report. A statement containing the salient features of the Financial Statements of the subsidiaries, joint ventures and associate companies of the Company in Form AOC-1 as required under Rule 5 of the Companies (Accounts) Rules, 2014 form part of the notes to the financial statements. The highlights of the performance of subsidiaries, associates and joint venture companies and their contribution to the overall performance of the Company are given as **Annexure A** in consolidated financials.

23. DETAILS RELATING TO DEPOSITS COVERED UNDER CHAPTER V OF THE COMPANIES ACT, 2013:

Sr. No.	Particulars	(₹ in crore)
1	Accepted during the year	0
2	Remained unpaid or unclaimed as at the end of the year	0.03
3	Whether there has been any default in repayment of deposits or payment of interest thereon during the year and if so, number of such cases and the total amount involved:-	
	(i) at the beginning of the year	0
	(ii) maximum during the year	0
	(iii) at the end of the year	0
4	Details of deposits which are not in compliance with the requirements of Chapter V of the Companies Act	0

The Company has not accepted any deposits from its Directors.

24. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNALS:

There are no significant and material orders passed by the regulators/ courts/ tribunals which would impact the going concern status of the Company and its future operations.

25. INTERNAL FINANCIAL CONTROL SYSTEM:

The Company has an internal financial control system commensurate with the size, scale and complexity of its operations. The internal controls over financial reporting have been identified by the management and are checked for effectiveness across all locations and functions by the management and tested by the Auditors on a sample basis. The controls are reviewed by the management periodically and deviations, if any, are reported to the Audit Committee periodically.

26. AUDIT COMMITTEE OF THE COMPANY:

The Audit Committee comprises of 4 (four) Independent Directors, viz. Mr. Amitava Mukherjee (Chairperson), Mrs. Lalita D. Gupte, Ms. Sutapa Banerjee and Dr. Indu Bhushan. The composition of the Audit Committee is in compliance with the requirements of Section 177 of the Companies Act and Regulation 18 of SEBI LODR Regulations. The details of the role and responsibilities of the Audit Committee, the particulars of meetings held and attendance of the members at such meetings are given in the report on Corporate Governance, which forms part of the Integrated Annual report. During the Financial Year under review, the recommendations made by the Audit Committee were accepted by the Board.

27. VIGIL MECHANISM:

The Company has established a vigil mechanism for directors, employees and other stakeholders to report their genuine concerns, details of which have been given in the Corporate Governance Report forming part of this Integrated Annual Report.

28. STATUTORY AUDITORS AND STATUTORY AUDITORS' REPORT:

On the recommendation of the Audit Committee and the Board of Directors, the Members at the 37th Annual General Meeting held on August 02, 2022 had re-appointed M/s. BSR & Co. LLP, Chartered Accountants (Firm Registration No. 101248W/W-100022), as the Statutory Auditors for the second term of five consecutive years i.e. from the conclusion of the 37th Annual General Meeting till the conclusion of the 42nd Annual General Meeting of the Company to be held in the year 2027.

The Report issued by M/s. BSR & Co. LLP on the financial statements of the Company for the financial year ended March 31, 2023 forms part of the Integrated Annual Report. There are no qualifications, reservations or adverse

remarks or disclaimers made by M/s. BSR & Co. LLP, Statutory Auditors, in their report.

29. COST RECORDS AND COST AUDITORS:

As required under Rule 8(5)(ix) of the Companies (Accounts) Rules, 2014, the Company confirms that it has prepared and maintained cost records as specified by the Central Government under sub-section (1) of Section 148 of the Companies Act for the financial year ended March 31, 2023.

Pursuant to Section 148 of the Companies Act, the Board of Directors of the Company has, on the recommendation of the Audit Committee, appointed M/s. R Nanabhoy & Co, Cost Accountants, as Cost Auditors of the Company for the financial year 2023-24 at a remuneration as mentioned in the Notice convening the AGM. The Company has received their written consent that the appointment is in accordance with the applicable provisions of the Companies Act and rules framed thereunder. The Cost Auditors have confirmed that they are not disqualified to be appointed as the Cost Auditors of the Company for the financial year 2023-24.

As required under the Companies Act, the remuneration payable to Cost Auditors must be placed before the Members at a general meeting for ratification. Hence, a resolution for the same forms part of the Notice of the ensuing AGM.

30. SECRETARIAL AUDIT REPORT:

The Board of Directors of the Company has appointed M/s. A K Jain & Co., Practicing Company Secretary, to conduct the Secretarial Audit and his Report on Company's Secretarial Audit is appended to this Report as **Annexure V**.

There are no qualifications, reservations or adverse remarks or disclaimers made by M/s. A K Jain & Co., Company Secretary in practice, in their Secretarial Audit Report for the financial year 2022-23.

The Company's unlisted material subsidiary company – Godrej Projects Development Limited ("GPDL") undergoes Secretarial Audit. A copy of the Secretarial Audit Report of GPDL is available on the website of the Company.

The Annual Secretarial Compliance Report as required under Regulation 24A of SEBI LODR Regulations has been submitted to the stock exchanges within 60 days of the end of the financial year.

The Company has complied with Secretarial Standards on Meetings of the Board of Directors (SS-1) and General Meetings (SS-2) issued by the Institute of Company Secretaries of India and adopted under the Companies Act.

31. REPORTING OF FRAUDS BY AUDITORS:

During the financial year under review, the Statutory Auditors, Cost Auditors and Secretarial Auditors have not reported any instances of frauds committed in the Company by its officers or employees to the Audit Committee or to the Central Government under Section 143(12) of the Companies Act, details of which needs to be mentioned in this Report.

32. MANAGEMENT DISCUSSION AND ANALYSIS REPORT:

The Management Discussion and Analysis Report for the year under review, as stipulated under Regulation 34(2) of SEBI LODR Regulations, is appended to this Report.

33. CORPORATE GOVERNANCE:

The Company is committed to maintaining the highest standards of Corporate Governance and adhering to the Corporate Governance requirements as set out by the Securities and Exchange Board of India ("SEBI"). The Report on Corporate Governance as stipulated under SEBI LODR Regulations forms part of the Integrated Annual Report. A certificate from the M/s. B N P & Associates, Company Secretaries in practice, confirming compliance with the conditions of Corporate Governance as stipulated under Schedule V to SEBI LODR Regulations and applicable provisions of the Companies Act forms part of the Corporate Governance Report.

34. INTERNAL COMPLAINTS COMMITTEE:

The Company has constituted an Internal Complaints Committee as required under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("POSH"). The details required to be disclosed under POSH form part of the Corporate Governance Report.

35. PARTICULARS OF EMPLOYEES:

Disclosures with respect to the remuneration of directors and employees as required under Section 197(12) of the Companies Act and Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 ("Remuneration Rules") has been appended as **Annexure VI** to this Report. As per the second proviso to Section 136(1) of the Companies Act and the second proviso of Rule 5 of the Remuneration Rules, the Directors' Report and Financial Statements are being sent to the Members of the Company excluding the statement of particulars of employees under Rule 5(2) and (3) of the Remuneration Rules. If any Member is interested in obtaining a copy thereof, the Member may write to the Company Secretary, whereupon a copy would be sent to such Member.

36. EMPLOYEES STOCK OPTION SCHEMES:

As required in terms of the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, the disclosure relating to Godrej Properties Limited Employee Stock Grant Scheme, 2011 ("GPL ESGS") is appended as **Annexure VII** to this Report.

37. BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT:

The Business Responsibility & Sustainability Report for the financial year ended March 31, 2023 as stipulated under Regulation 34(2) of SEBI LODR Regulations is attached as part of the Integrated Annual Report.

38. TRANSFER OF UNPAID/UNCLAIMED DIVIDEND/ EQUITY SHARES TO INVESTOR EDUCATION AND PROTECTION FUND:

Pursuant to the provisions of Section 124 of the Companies Act, Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 read with the relevant circulars and amendments thereto, the amount of dividend remaining unpaid or unclaimed for a period of seven years from the due date is transferred to the Investor Education and Protection Fund ("IEPF"). The equity shares in respect of which dividend has remained unpaid/unclaimed for a period of seven consecutive years are also transferred by the Company to the designated Demat Account of the IEPF Authority.

39. DETAILS OF APPLICATION MADE OR ANY PROCEEDING PENDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016 (31 OF 2016) DURING THE YEAR ALONG WITH THEIR STATUS AS AT THE END OF THE FINANCIAL YEAR:

One of the home buyers in the project Godrej Icon, Gurgaon being developed by Oasis Landmarks LLP (wherein Godrej Properties Limited is a partner) had filed an application with NCLT, Mumbai under Insolvency and Bankruptcy Code, 2016 against GPL for a refund of ₹28.82 lakh against cancellation of flat booking. The Petitioner subsequently filed a Memorandum for withdrawal of the application. Accordingly, NCLT by its order dated October 14, 2022 closed the matter as withdrawn.

There were no other applications made or any proceedings pending against the Company under Insolvency and Bankruptcy Code, 2016 during the financial year.

40. DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF

During the financial year under review, there were no instances of one-time settlement with any Bank or Financial Institution.

Place: Mumbai
Date: May 03, 2023

41. CREDIT RATING:

The details of the credit ratings awarded to the Company are provided in the Corporate Governance Report forming part of the Integrated Annual Report.

42. INTEGRATED REPORTING:

The Company has drawn up an Integrated Annual Report that provides both financial and non-financial information, including the organisation's strategy, governance framework, performance and prospects of value creation based on six forms of capital based on the GRI standards.

43. AWARDS & RECOGNITIONS:

The Directors take pleasure in informing the Members that the Company, its people and projects were acknowledged with several awards and ratings during the financial year ended March 31, 2023. The details of the awards received are given in the Integrated Annual Report.

44. ACKNOWLEDGMENTS:

The Directors wish to place on record their appreciation and sincere thanks to the customers, joint venture partners, shareholders, banks, financial institutions, fixed deposit holders, vendors and other associates who through their continued support and cooperation, have helped, as partners, in the Company's progress. The Directors also acknowledge the hard work, dedication and commitment of the employees for the growth of the Company and look forward to their continued involvement and support.

For and on behalf of the Board of
Directors of Godrej Properties Limited

Pirojsha Godrej
Executive Chairperson
(DIN: 00432983)